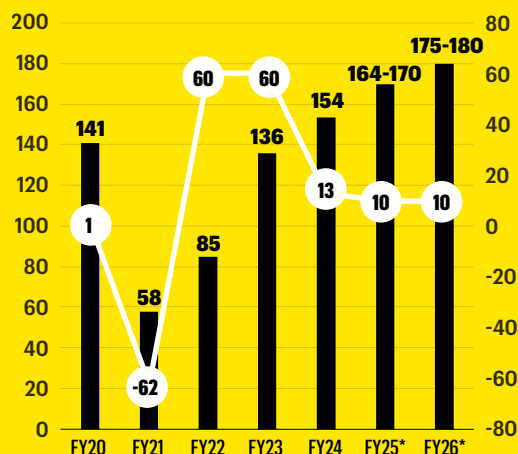


DOMESTIC PASSENGER TRAFFIC



● PASSENGER TRAFFIC IN MILLION (LHS)

● YoY CHANGE IN % (RHS)

*PROJECTIONS (OF 7-10% GROWTH) SOURCE ICRA



PUSHAN SHARMA
DIRECTOR-RESEARCH,
CRISIL MARKET INTELLIGENCE
& ANALYTICS

THE GROWTH [IN AIR PASSENGER TRAFFIC] IS ATTRIBUTED TO VARIOUS FACTORS—RISING INCOMES, GROWING FLEET, AND EXPANDING NETWORK



KAPIL KAUL
SOUTH ASIA CEO,
CAPA INDIA

IN FY24, THERE WAS A 50% LOSS REDUCTION AT AIR INDIA, AND AIR INDIA EXPRESS AND VISTARA REPORTED NEAR BREAK-EVEN

IndiGo or Vistara (before it merged with Air India), can't make money on a sustainable basis," Bhargava adds.

Aviation consultancy firm CAPA India believes profitability challenges are expected to continue in FY25, and combined capacity expansion by IndiGo and Air India could outpace GDP growth.

"In FY24, there was a 50% loss reduction at Air India, and Air India Express and Vistara reported near break-even," says Kapil Kaul, South Asia CEO, CAPA India.

IndiGo posted a net loss of ₹986.7 crore in Q2FY25 due to rising fuel costs, increased airport charges, higher aircraft leases, grounded planes, seasonal downturn, and lower yields in the international market.

HEADWINDS AHEAD

Even with an increase in the number of flyers, the domestic aviation industry faces major challenges. Elevated ATF prices, depreciation of the INR vis-à-vis the USD, and supply chain issues may continue in 2025.

Fuel costs account for 30-40% of an airline's expenses, while 35-50% of an airline's operating expenses—including aircraft lease payments, fuel expenses, and a significant portion of aircraft and engine maintenance expenses—are denominated in dollar terms.

Disruptions in the supply chain have forced certain airlines to ground some of their aircraft. Besides, developments elsewhere, too, have had a huge impact. For instance, Boeing has faced a delay in delivery due to scru-

tiny in the US over safety lapses.

Rating agency ICRA said engine failure issues will also continue to plague performance. "It is estimated that almost 144 aircraft i.e. 16-18% of the total industry fleet as of September 30, 2024, have been grounded. But the share has been reducing. In addition, global supply chain issues have affected the availability of aircraft, engine and parts," it said.

Pilot shortage, especially of Commanders, is likely to continue with some Middle Eastern carriers recruiting aggressively, and as IndiGo starts recruiting for wide-body operations, highlights CAPA.

ICRA further notes the available seat kilometre (ASM) in FY25 has also been impacted due to pilot- and cabin crew-related challenges in select airlines.

Increased operating expenses towards the cost of grounding, increased lease rentals, wet leases, rising lease rates and lower fuel efficiency (due to replacement by older aircraft taken on spot lease) adversely impacted airlines' cost structure in 2024.

Despite these strong headwinds, rating agencies have given a stable outlook for the industry till the end of FY25. The Indian aviation sector is expected to strap on the seat belt and soar, driven by increasing passenger traffic, evolving market dynamics, and expanding domestic and international operations. **BT**

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